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Sephora:
Transforming the Beauty Experience through Technology

In June 2024, Zena Srivatsa Arnold, the Chief Marketing Officer (CMO) of Sephora's US division, was planning the next phase of the company's technology-driven transformation of its customer experience. Arnold had joined Sephora in the summer of 2023 after a successful career at leading companies such as PepsiCo, Kimberly-Clark, and Google. Sephora was an industry leader in leveraging e-commerce, artificial intelligence (AI), augmented reality (AR), to create a seamless customer experience across its digital and physical customer touch points. However, the technology landscape was shifting, driven by advances in generative AI. In addition, the competition had caught up with many of Sephora's experience innovations.

Sephora needed to respond to these technological and competitive developments through continued investments in innovation. In making these investments, Arnold would need to pursue futuristic technologies and digital channels while strengthening its existing initiatives and channels. How could Sephora balance its investments in emerging genAI technologies with investments in enhancing its existing initiatives in AI and AR? And how could the company balance investments in building a digital-first customer experience with investments in improving its physical stores?

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Company Background

Sephora was a multinational beauty retailer founded in France in 1969 by Dominique Mandonnaud. In July 1997, the company was acquired by LVMH (Moët Hennessy Louis Vuitton), the world's leading luxury goods conglomerate. The company offered a wide range of beauty products from established and emerging brands, including cosmetics, fragrances, and skin- and hair-care products. Sephora operated as a chain of retail stores with a strong online presence. As of 2024, Sephora operated 2,600 stores across 35 countries in North America, Europe, Asia, and the Middle East. It had almost 22 million followers on Instagram and 1.5 million on TikTok.

A key feature of Sephora stores was an open-sell environment, where customers could try out products before purchasing them. This approach contributed significantly to Sephora's success. Sephora was also known for its loyalty program, "Beauty Insider," which offered valuable rewards to its members and had been instrumental in enhancing customer engagement and loyalty. (See **Exhibit 1** for an overview of the Beauty Insider program.) Sephora had also emerged as a leader in leveraging AI, AR, and data-driven personalization to enhance customer experience.

The US Beauty Industry in 2024

The US beauty and personal care market was dynamic and highly competitive. Its rapid evolution was driven by shifts in consumer behavior, technological advancements, and the increasing interplay between digital and physical shopping experiences. The US market for beauty products was estimated at $62.97 billion in 2023 and was expected to grow at a compound annual growth rate (CAGR) of 6.1% from 2024 to 2030.[1] A significant trend in the market was the use of technology to transform the ways in which consumers discovered, purchased, and experienced beauty products.

Rise of E-Commerce and Social Networks

The rise of e-commerce was one of the most significant shifts in the beauty industry. In 2024, online sales were expected to account for almost 20% of the total revenue in the industry, and e-commerce sales were projected to exceed $350 billion in 2026.[2] The COVID-19 pandemic accelerated the shift to e-commerce, as consumers were forced to shop online for their beauty needs. Even after physical stores reopened, many consumers continued to shop online because of the convenience of browsing and purchasing from the comfort of their homes. This shift compelled beauty brands to invest heavily in their digital platforms and to optimize the user experience on websites and mobile apps. In addition to websites and mobile apps, social media platforms such as Instagram and TikTok had become important sales channels, particularly among younger consumers. Brands including Huda Beauty, founded by makeup artist Huda Kattan, and Rare

1 U.S. Cosmetics Market Size, Share & Trends Analysis Report, Grand View Research, accessed March 23, 2025, https://www.grandviewresearch.com/industry-analysis/us-cosmetics-market-report.

2 The Top 10 Beauty Ecommerce Trends That Will Define 2024," Shopify, accessed March 23, 2025, https://www.grandviewresearch.com/industry-analysis/us-cosmetics-market-report.

Beauty, founded by Selena Gomez in 2019, had attracted large and loyal followings on social media networks.

Use of AR for Try-Ons

Personalization was becoming a cornerstone of the beauty shopping experience. Customers expected brands to understand their individual needs and preferences by offering tailored product recommendations, personalized marketing, and customized products. Several beauty brands offered virtual try-on tools using AR, allowing customers to see how products such as makeup and hair color would look on them before making a purchase. In 2018, L'Oréal acquired Modiface, a leading company in AR and AI for the beauty industry, and used it to create AR experiences for several of its brands, including Maybelline, Lancôme, and Garnier. Estée Lauder offered an AR try-on feature for various brands, including MAC Cosmetics and Clinique. Ulta Beauty offered GLAMLab, an AR tool on its mobile app and in-store, to let customers try on makeup virtually, experiment with different looks, and find the right products tailored to their preferences.

AI-Driven Personalization

Beauty brands were leveraging AI-based tools to transform the way consumers interacted with products and brands. Using advanced algorithms and machine learning, brands had developed AI-powered virtual assistants to offer tailored recommendations, from personalized skin-care routines to customized makeup shades. Estée Lauder had created the "iMatchVirtual Skin Analysis" tool that analyzed users' skin types and concerns through uploaded photos to help customers find the most suitable skin-care regimen. Olay had developed an AI-driven tool called "Skin Advisor" that used computer vision to analyze users' skin, predict the user's skin age, and recommend personalized skin-care products. Shiseido had introduced "Optune," an AI-based system that customized skin-care solutions based on factors such as skin condition, environmental data, and lifestyle.

Sephora's Technology-Driven Customer Experience

Sephora was a leader in leveraging technology to create a seamless customer experience by integrating digital and mobile channels, developing AI-powered tools, and employing Augmented Reality (AR) in the customer experience.

Digital and Mobile Channels for E-Commerce

Sephora's mobile app and e-commerce platform were central to its strategy of providing a seamless and personalized shopping experience. The mobile app offered customized recommendations based on browsing history, previous purchases, and user preferences. The app was integrated with the Beauty Insider loyalty program, allowing customers to track points, access exclusive deals, and redeem rewards. It also facilitated in-app purchases with various delivery options, including in-store pickup, blending the ease of digital shopping with the immediacy of physical stores.

The e-commerce platform complemented the mobile app by offering an extensive product range, detailed descriptions, user reviews, and tutorials. With a quick checkout process, multiple payment options, and a responsive design, customers could effortlessly navigate and complete their purchases, whether on a mobile browser or a desktop.

AR for Virtual Try-Ons

Sephora was a pioneer in integrating AI into the beauty shopping experience, significantly enhancing the ways in which customers interacted with products online. The Sephora Virtual Artist tool allowed users to virtually try on makeup products such as lipstick, eyeshadow, and foundation using their smartphone or desktop camera. (See **Exhibit 2** for a screenshot.) This AR feature provided a realistic preview of how products would look on the user, helping them make more confident and informed purchase decisions. The tool also included AR-based tutorials, allowing users to follow step-by-step makeup application guides overlaid on their live images. This experience bridged the gap between digital and physical shopping experiences by offering a similar level of interactivity and personalization.

AI-Driven Personalization

Sephora had invested heavily in creating AI-based tools to deliver personalized experiences across its digital and physical platforms. Sephora developed AI algorithms that provided tailored product recommendations based on skin type, color preferences, and past purchases. Its Color IQ service used advanced image analysis to recommend the best foundation shades, while its Skin Care IQ suggested products based on individual skin concerns. Sephora also offered AI-powered chatbots to aid with product inquiries, order tracking, and customer service.

In stores, Sephora offered AI tools that analyzed customer-uploaded images to determine skin tone and texture, recommending products best suited to individual needs. AI-driven personalization extended to in-store digital screens, where customers could browse products, read reviews, and receive recommendations based on their Beauty Insider profiles. The integration of mobile checkout systems further enhanced the omnichannel experience, allowing customers to pay for their purchases using the app, bypassing traditional checkout lines.

Strategic Challenges

Sephora had emerged as a leader in the beauty industry in using technology to personalize the customer experience across all channels. However, the rapid evolution of technology and intensifying competition would require Sephora to elevate its efforts to maintain its leadership position. Arnold needed to address two strategic challenges:

Investing in GenAI versus Building on Existing AI Initiatives

The rapid evolution of genAI presented intriguing possibilities for Sephora. Arnold's team had conducted an ideation workshop moderated by an expert in genAI. Several promising ideas had come out of the workshop. These included:

- Leveraging genAI to automatically generate personalized beauty content, such as blog posts, video tutorials, and social media posts
- Using conversational chatbots to offer virtual beauty consultations, including product recommendations, answers to beauty-related questions, and suggestions for makeup looks based on the customer's outfit or mood
- Creating genAI-powered "virtual beauty influencers" who could interact with customers in a more human way, offering a fresh and innovative approach to beauty content
- Designing personalized skin care products and fragrances for customers by analyzing their scent preferences, past purchases, and even their lifestyle. Customers could interact with the AI to refine the products until they perfectly matched their preferences

However, Arnold realized that Sephora also needed to invest in refining and enhancing its existing AI and AR tools. These initiatives could include:

- Refining its AI tools to analyze customer reviews and social media feedback in real-time, allowing the company to identify and respond to emerging trends, potential issues with products, or gaps in the product range
- Using AI to implement dynamic pricing strategies by adapting prices in real-time based on demand, inventory levels, and competitor pricing
- Exploring deeper integration of AR and AI by combining AI-driven product recommendations with AR try-ons to help customers make buying decisions
- Applying AI to enhance the Beauty Insider program by creating dynamic and personalized loyalty rewards such as unique offers or exclusive access to events based on individual customer preferences

Arnold did not want Sephora to get left behind in the race to harness the power of genAI to drive innovation in the customer experience. But she was concerned that the genAI tools were still relatively untested and posed new ethical and privacy challenges. Further, doubling down on Sephora's investments in AI and AR could result in much value.

Balancing the Digital-First Experience with the In-Store Experience

Sephora's second challenge was balancing investments in enhancing its digital-first customer experience with investments in modernizing and expanding its physical retail stores.

On the one hand, Sephora was observing an evolving preference for digital-first experiences, particularly among younger customers. These customers prioritized convenience, personalization, and seamless integration across online and offline channels. To meet these demands, Sephora would need to invest in AI-driven personalization, mobile app enhancements, and sophisticated online-to-offline integration. For instance, Sephora could create augmented reality (AR) mirrors in its stores to combine the tactile experience of in-store shopping with the convenience of digital innovation. It could create AI-driven personal shopping assistants on its website and its mobile app, as well as in stores, to recommend products in real time. The digital initiatives would require an investment of between $50 million and $100 million annually.

On the other hand, Sephora needed to invest in strengthening its physical store footprint, as its retail stores had been a cornerstone of its brand. The physical stores were a potent weapon for Sephora in competing with online-only rivals by allowing customers to engage directly with products, receive expert consultations, and participate in immersive events. These elements of the in-store experience were highly valued by a significant portion of Sephora's customer base. Sephora had successfully expanded its physical store footprint through partnerships with Kohl's, opening almost 1,000 small Sephora stores inside Kohl's department stores. These stores had generated $1.4 billion in incremental sales in 2023 and were projected to grow to $2 billion in sales by 2025.[3] Sephora could continue to invest in increasing its physical footprint by opening its own stores, as well as through partnerships like the one with Kohl's. Growing the physical store footprint would cost between $100 million and $300 million annually to sustain the current level of retail expansion.

Conclusion

As Sephora navigated the rapidly evolving beauty industry, it needed to maintain its leadership in AI-driven personalization amidst growing competition and emerging genAI technologies. It also needed to balance investments in the digital-first customer experience with revitalizing and expanding its physical stores. Arnold needed to craft a strategy that would allow Sephora to build on its strengths while positioning itself for the future.

3 "Sephora at Kohl's Surpasses $1.4 Billion in Sales, More than 100 New Shops to Open This Year," Kohl's, March 14, 2024, https://corporate.kohls.com/news/nqqydduj4u2cv2xihf05p6s1udu4y5.

Exhibit 1: Overview of Sephora's Beauty Insider Program

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Beauty Insider Benefits

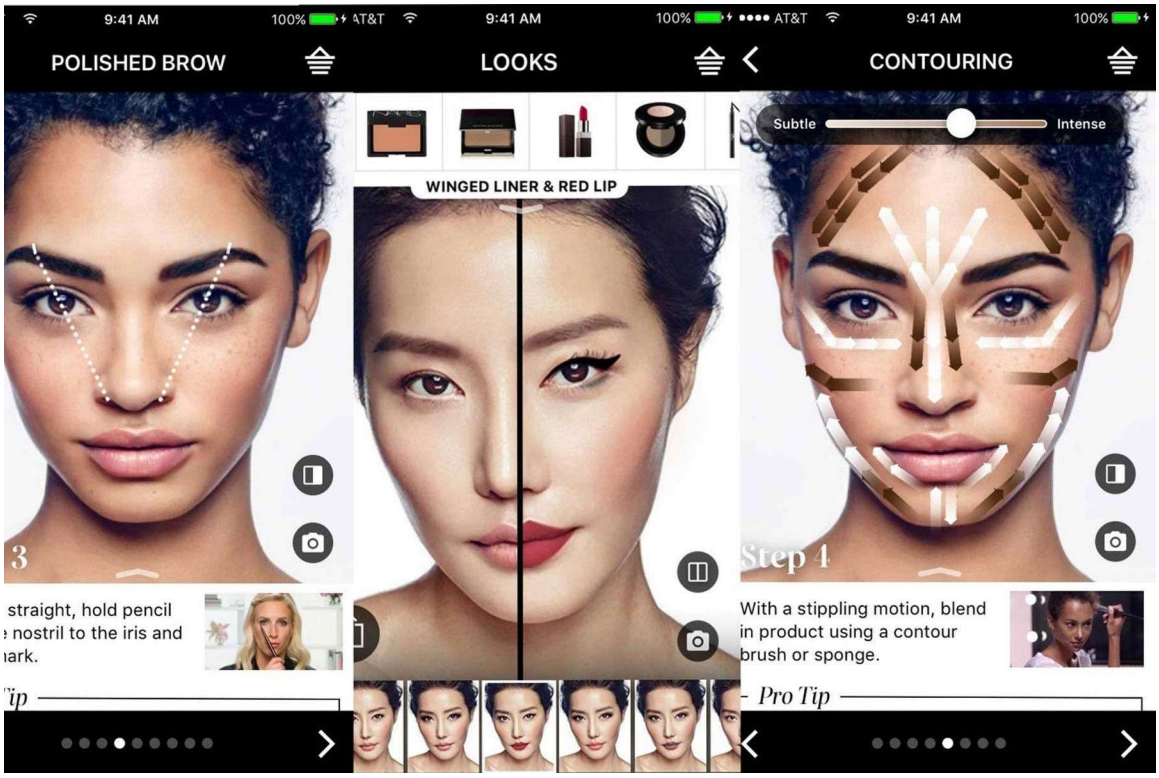
All members earn 1 point per $1 spent.

Savings	INSIDER Free to join	VIB Spend $350/yr	ROUGE Spend $1000/yr
Free Standard Shipping Beauty Insider only, no minimum purchase required	●	●	●
Beauty Insider Cash* Apply 500 points for $10 off your qualifying purchase	●	●	●
Seasonal Savings Events*	10% off	15% off	20% off
Point Multiplier Events* ▸	2X points	3X points	4X points
End-of-Year Discount*	●	●	●
Access to Auto-Replenish ▸ Set up subscription delivery and get 5% off your faves	●	●	●
Rouge Reward Exchange 2,500 points for $100 off your purchase			●
Samples			
Free† Birthday Gift* ▸ †$25 minimum purchase required for online redemption.	5 options	6 options	6 options
Access the Rewards Bazaar ▸ Redeem points for samples	●	●	●
Exclusive Gifts		●	●
Experiences			
Access to Same-Day Unlimited Delivery ▸ Subscription available for $49 per year	●	●	●
Access App Exclusives	●	●	●
Exclusive Events	●	●	●
First Access to Products			●

Source: Sephora.

Exhibit 2: Sephora's Virtual Artist Augmented Reality Tool

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Source: Sephora.